Indian Institute of Management Calcutta

Programme : **MBA**

Name of the Course: **ECONOMICS OF THE FIRM**

Core / Elective**: ELECTIVE** Cap (for Elective): **50**

Credit: **3**

Academic Year & Term: **2026-27, TERM 6**

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Introduction to Course / Course Description

The course provides a rigorous discussion of the Microeconomic Theory of Firm Strategy, *by studying the central concepts of Value Creation and Value Capture,* with the aim of *explaining and clarifying the notion of Co-opetition developed by Adam Brandenburger and Barry Nalebuff*

Course Objective and Key-takeaways from the course

The course objective is to introduce students to the art and science of Value Creation and Value Capture.
*In their book titled **Co-opetition**, strategy-theorists Adam Brandenburger and Barry Nalebuff have enriched Michael Porter's "five-forces analysis" by delineating the "value net of a firm" and by studying business strategy in the context of such **value nets**. The "value net theory" places **a firm at the centre of its value-net**, and studies the strategic interactions between the firm and a set of **market participants** that play one or more of the following **five roles** vis-à-vis the firm: (1) **Input suppliers** – other firms which supply both physical and financial inputs to the firm; (2) **Customers** – individuals and/or firms to whom the firm sells its products and services; (3) **Existing competitors** – other firms in the market who compete with the firm with respect to its inputs purchases and output sales; (4) **Potential competitors** – other firms which are waiting in the wings for suitable opportunities to enter the industry/industries in which the firm operates; and (5) **Complementors** – other firms in related markets whose activities enhance the value of the firm's outputs in the eyes of its customers.*
In the current course, we will aim to explore various strategic issues that arise in the different relationships that exist between a firm and all the players that belong in its "value net".

Course Level Learning Goal

To acquire capacity to apply professional knowledge and skills to diagnose and resolve business problems in actual organizational settings.

International Components in your course (if any)

Rational and strategic thinking for all local and global business decisions.

Pre-requisites

Microeconomics and Basic Game Theory

Course Texts

1. ***Adam Brandenburger & Barry Nalebuff: Co-opetition***
2. ***Instructor's Lecture Notes***

Session Plan

Sessions	Topic	Intended learning outcome	References
1	*A FIRM'S VALUE-NET*	*Understanding Strategic Relationships inside the Value Net of a Firm*	*Co-opetition Book Lecture Notes*
2 - 5	*BARGAINING AND NEGOTIATIONS*	*Understanding tensions between Value Creation and Value Capture*	*Co-opetition Book Lecture Notes*
6 - 8	*CAPTURING CONSUMER SURPLUS*	*Understanding Price Discrimination and Product Differentiation; Loyalty Deepening vs. Loyalty Stealing*	*Co-opetition Book Lecture Notes*
9 - 11	*CONTOURS OF STRATEGIC COMPETITION*	*Understanding Competition in Strategic Substitutes and Complements – Capacity, Advertising, Pricing, etc.*	*Co-opetition Book Lecture Notes*
12 - 14	*ENTRY, EXIT, AND SURVIVAL*	*Understanding Entry Deterrence; Predation vs. Accommodation; Aggressive Entry vs. Judo Strategies;*	*Co-opetition Book Lecture Notes*
15 - 16	*STRUCTURING SUPPLIER RELATIONSHIPS*	*Understanding Procurement Contracts and Auctions; Transactions Costs and Vertical Integration*	*Co-opetition Book Lecture Notes*
17 - 18	*LEVERAGING COMPLEMENTORS*	*Understanding Commodity Bundling; Cross Licensing of Products and Patents; Research Joint Ventures*	*Co-opetition Book Lecture Notes*
19 - 20	*STUDENT PRESENTATIONS*	*Presentation of Real-world Examples of Co-opetition by students*	

Evaluation Components

✓ Components	✓ Weightage
Mid-term Exam	**30%**
Student Presentations	**30%**
End-term Exam	**40%**

Online Course Web:

- → *All presentations made in class are uploaded on the course website.*
- → *Relevant readings and problem sets are uploaded after each class*
  Guidelines for and information about exams are uploaded before exams.

Mapping for Financial Risk Management with Programme Level Goals

Goal 1	Goal 2	Goal 3	Goal 4	Goal 5
Critical Thinking & Data driven solutions to management problems a, b, c, d	**Ethical values to analyze and solve management problems a,b,c**	**Deep analytical skills to gain competitive edge, globally a, b, c**	**Ability to articulate and communicate a, b**	**Knowledge and cognitive understanding to become effective team player a, b**
Economics of the Firm (a)		Economics of the Firm (a)		Economics of the Firm (a)